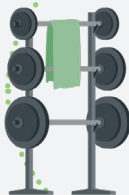


3.3 Problems with DCF Formula

Problem with DCF



Too many assumptions are required



Too much weightage on Perpetual Value



Complicated for Retail Investors

- Problems**
- Too many assumptions are needed.
 - Too much emphasis is placed on perpetual value, which will significantly vary with even little change in the denominator. Over reliance on perpetual value is a major warning problem.
 - For retail investors, it's too complicated
 - This is far more complicated than the median P/E chart and relative valuation.